

or yearly basis. Some ways to ascertain this information might be to consult your employment contract, your pay stub, or ask your employer's human resources department. If you contribute to the cost, subtract your contribution from the total. If your contribution is pretax (as in a cafeteria, or section 125 plan), factor in your tax savings by adding your social security tax rate of 7.65 percent (up to \$84,900 in earnings, after which it's only 1.45 percent), your federal tax rate, and your state tax rate. Multiply the total percentage times the amount you pay toward your insurance coverage to calculate your tax savings.

For example, if you're in the 28 percent federal tax bracket and a 7 percent state tax bracket, add these two percentages plus the 7.65 percent social security tax. Your total tax rate is 42.65 percent. If you contribute \$100 per month toward your insurance, your real cost is \$57.35 ($\$100 \times 42.65 \text{ percent} = \42.65 in savings; $\$100 - \$42.65 = \$57.35$).



Being young is no guarantee of health. If you don't have full insurance coverage, purchase a high-deductible policy to protect yourself against major medical expenses. The higher the deductible, the less expensive the policy, so consider one with a \$1,000 to \$5,000 deductible until you find a job with insurance.

Flexible-Spending Accounts (FSAs)

FSAs, or reimbursement accounts, are an employer-provided benefit that allows you to set aside pretax contributions to pay for eligible medical expenses that aren't covered by your health insurance, including premiums (unless they're paid with pretax money), deductibles, copays, and any other health cost considered an allowable medical expense by the IRS. For a complete list of allowable medical deductions, see Publication 502, *Medical and Dental Expenses*, in the Forms and Publications section of the IRS